

## 1. Overview

This specification defines the updated interchange fee schedules, transaction routing rules, message format changes, and reporting obligations applicable to all acquirers processing **Mastercard** and **Maestro** branded transactions on the Mastercard Banknet network effective 2026-07-01. This revision (MCS-2026-R3) supersedes MCS-2025-R4 in its entirety and introduces changes in three areas: (1) interchange fee table restructuring to reflect enhanced rewards tiers; (2) ISO 8583:2003 field additions for digital wallet indicators; (3) mandatory reporting changes for real-time payment flows via the Mastercard Send platform.

## 2. Interchange Fee Schedule Updates

### 2.1 Revised Fee Tiers

Interchange fees are assessed per transaction and remitted by the acquirer to the issuer via the Mastercard Interchange System (MIS). MCS-2026-R3 restructures the consumer credit interchange tiers as follows:

| Product Category       | Transaction Type | Rate (% + USD) | Effective  |
|------------------------|------------------|----------------|------------|
| Mastercard World Elite | Card-Present     | 2.10% + \$0.10 | 2026-07-01 |
| Mastercard World Elite | Card-Not-Present | 2.40% + \$0.10 | 2026-07-01 |
| Mastercard World       | Card-Present     | 1.90% + \$0.10 | 2026-07-01 |
| Mastercard World       | Card-Not-Present | 2.20% + \$0.10 | 2026-07-01 |
| Mastercard Standard    | Card-Present     | 1.65% + \$0.15 | 2026-07-01 |
| Mastercard Standard    | Card-Not-Present | 1.85% + \$0.15 | 2026-07-01 |
| Maestro Debit          | PIN Debit        | 0.05% + \$0.21 | 2026-07-01 |
| Maestro Debit          | Signature Debit  | 0.80% + \$0.15 | 2026-07-01 |

Acquirers **MUST** update their interchange fee calculation engines to apply the new rates as of the first transaction processed on 2026-07-01 00:00:00 UTC. Retroactive adjustments will not be processed by Mastercard Settlement Services. Misclassified interchange will be subject to a USD 0.05 per-transaction correction fee assessed in the following settlement cycle.

## 3. Transaction Routing Updates

### 3.1 Banknet Routing Selection

Transaction routing to Mastercard Banknet MUST follow the BIN-first routing table published in the Mastercard BIN Table (MBT) v2026-Q2. The routing handler MUST inspect DE 2 (Primary Account Number) for the 6-digit BIN prefix, look up the associated network ID and product type in MBT, and forward to the appropriate Banknet authorization endpoint. Routing decisions MUST be immutable after the initial selection — mid-transaction re-routing is not permitted under Mastercard network rules except in documented timeout failover scenarios.

### 3.2 Debit Routing Compliance (Regulation II)

US debit transactions on Mastercard-branded cards are subject to Regulation II (Durbin Amendment) routing requirements. Acquirers MUST offer at least two unaffiliated networks for PIN debit routing. JPMC systems MUST configure the routing decision logic to evaluate: (1) merchant preference flag from the terminal, (2) issuer routing preference from DE 55 ICC data, (3) cost optimization by interchange tier. The routing selection must be logged with the selected network ID and reason code in the transaction audit record for regulatory examination purposes.

## 4. ISO 8583 Message Format Changes

### 4.1 New and Modified Data Elements

MCS-2026-R3 introduces the following changes to the ISO 8583:2003 message format for Mastercard authorization (MTI 0100/0110) and financial request (MTI 0200/0210) messages:

| DE       | Field Name               | Change Type | Description                                                                       |
|----------|--------------------------|-------------|-----------------------------------------------------------------------------------|
| DE 48.77 | Digital Wallet Indicator | NEW         | 2-byte code identifying wallet type (Apple Pay=01, Google Pay=02, Samsung Pay=03) |
| DE 48.78 | Token Assurance Level    | NEW         | 1-byte integer (0-99) from Mastercard MDES token vault; required if DE 2 is a MD  |
| DE 61.8  | POS Environment          | MODIFIED    | Bit 3 extended: value '3' now indicates Soft POS (COTS device); previously undef  |
| DE 104   | Transaction Description  | MODIFIED    | Max length increased from 25 to 40 bytes; UTF-8 encoding now required (was AS     |
| DE 55    | ICC System-Related Data  | MODIFIED    | Tag 9F6E (Enhanced Contactless Reader Capabilities) now mandatory for contac      |

All implementations must be capable of parsing and forwarding DE 48.77 and DE 48.78 by the effective date. Transactions presenting MDES tokens (identifiable by BIN prefix 520000–529999) MUST include DE 48.78; absence will result in Response Code 55 ('Incorrect PIN / PIN tries exceeded') being returned, which is a processing error indicator distinct from its literal PIN meaning in this context.

## 5. Reporting and Downstream Data Obligations

### 5.1 Daily Settlement Reporting

Acquirers must submit the Daily Settlement Report (DSR) to Mastercard Settlement Services by 06:00 UTC for the prior processing day. The DSR format changes effective 2026-07-01: (a) The 'Product Code' column must use the new 4-character product codes from MBT v2026-Q2

(previously 2-character); (b) Digital wallet transactions (DE 48.77 present) must be reported in a separate 'Digital' subsection with wallet-type breakdown. Failure to comply with the reporting format will result in settlement holds on the affected batch.

## **5.2 Regulatory and Compliance Reporting**

For US debit transactions, acquirers must provide quarterly Regulation II compliance reports to Mastercard Compliance by the 15th of the month following each quarter end. Reports must include: total transaction count by network, interchange paid by network, and routing override counts with justification codes. These reports feed Mastercard's downstream analytics platform and are subject to audit by the Federal Reserve under Regulation II enforcement authority.

## **5.3 Real-Time Payment Reporting (Mastercard Send)**

Transactions processed via Mastercard Send (push payment) platform must be reported in real time to the Mastercard Real-Time Monitoring System (RTMS) via a dedicated API endpoint. Each push transaction must include a correlation ID, disbursement amount, recipient BIN, and funding source indicator. The RTMS feed is used for fraud surveillance and regulatory reporting to FinCEN under the Bank Secrecy Act.

# **6. Effective Dates and Compliance**

All changes in MCS-2026-R3 are effective **2026-07-01**. Systems not updated by this date will receive processing exceptions for transactions using the new DE 48.77 and DE 48.78 fields, and interchange will be assessed at the Standard (non-tiered) rate. The compliance deadline for all JPMC Merchant Services systems is **2026-06-20** (internal UAT sign-off required 10 days prior to network effective date). Questions regarding this specification should be directed to [Mastercard-Acquirer-Relations@mastercard.com](mailto:Mastercard-Acquirer-Relations@mastercard.com).